

BENDER TRUST

TOLL BROTHERS

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TOL 1

COMPANY DESCRIPTION

COMPANY OVERVIEW

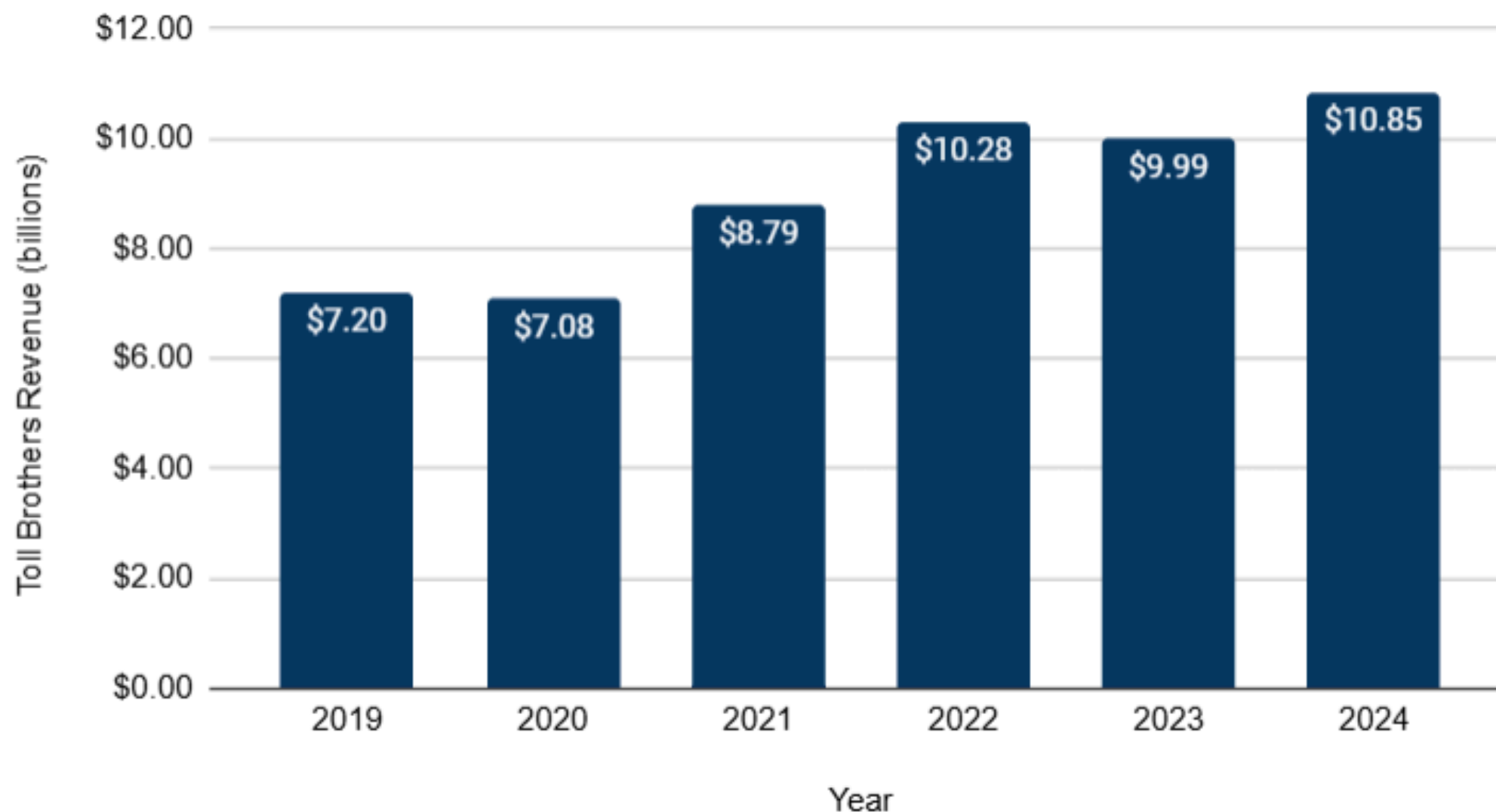
- Founded by Bob and Bruce Toll in **1967**
- Sells, designs, and creates high-end homes, rentals, and condominiums
- **\$10.8 billion** in revenue (2024)
- Market Cap: **\$12.60 billion** (2024)
- Employee base approximately **5.4k** across the US
- Operates in over **60** markets across **24** states (notably NJ, AZ, CA)
- Other brands: Toll Brothers Design Studio, Toll Brothers Smart Home Technologies, Toll Brothers Mortgage Company, and Toll Landscape



TOL 3

HISTORICAL GROWTH

Toll Brother Revenue (billions) Annually (2019-2024)



- Compound annual growth rate (CAGR) of **32.7%** (past **5** years)
- Home building sales (as of 2024):
- Represents **97.3%** of **\$10.85** billion revenue
- Delivered **\$2.04** billion in operating income (**18.8%** of revenue)

SWOT ANALYSIS

Strengths

- Market Leader
- Brand prestige

Weaknesses

- High Operating Costs
- Margin pressure expected to persist into 2026

Opportunities

- Growth in AI
- Geological Growth
- Strategic land acquisition

Threats

- Economy volatility
- Supply Chain risks
- Increased competition in luxury home market

TOL 5

INDUSTRY ANALYSIS

\$1.3 trillion US home construction industry driven by long-term demand and ongoing housing shortage

High mortgage rates, labor shortages, and material costs, but the outlook is still positive due to limited supply

Competition rising as D.R. Horton, Lennar, PulteGroup expand with economies of scale

Toll Brothers positioned in luxury segment with affluent buyers less sensitive to rate changes

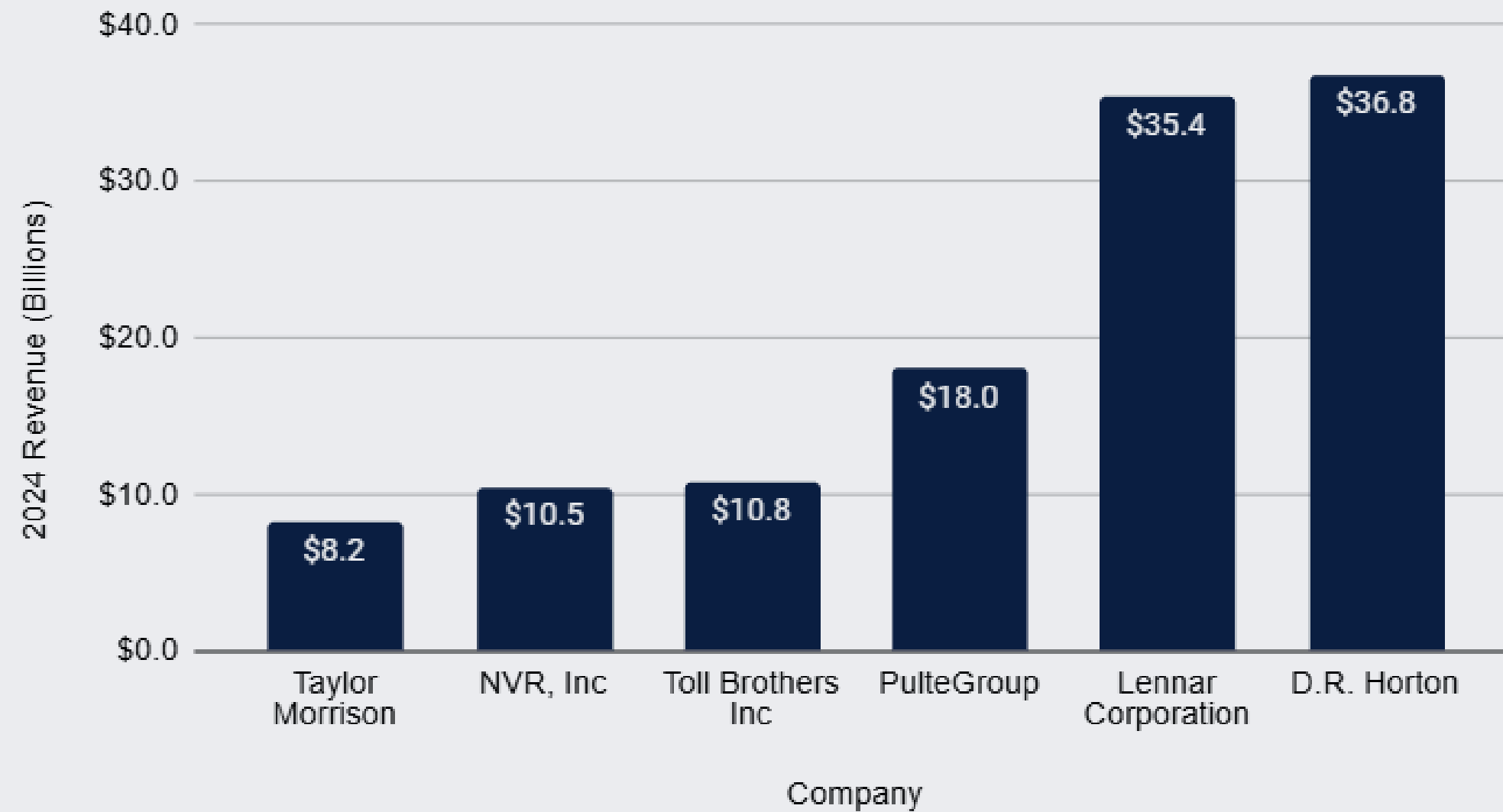
Industry trends: consolidation, digital sales platforms, design-studio customization, energy-efficient homes

Expected modest growth supported by demographic demand and constrained supply

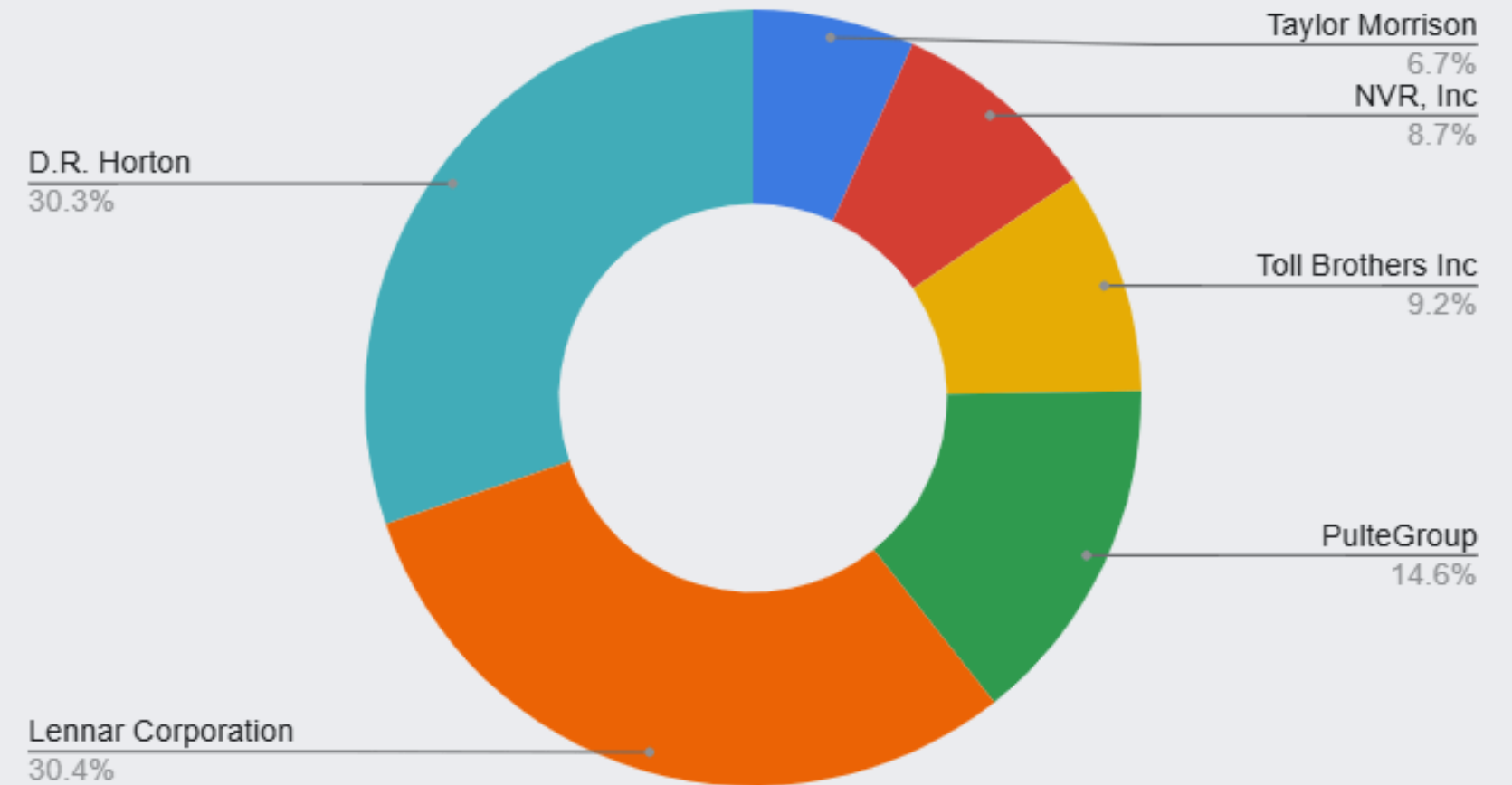
TOL 6

COMPETITION

2024 Revenue (Billions)



Market Share



TOL 7

PORTERS FIVE FORCES

TOL 8



TOL 9

INVESTMENT THESIS

Toll Brothers is a **BUY**

Toll Brothers is a buy due to its luxury demand, high share of all-cash buyers, and strong financial health in uncertain macro economic environments.

RISKS

High Interest Rates & Housing Demand

When mortgage rates are high, fewer people can afford homes. This can lower sales and profit margins. The risk is failing demand and slower home sale

Inventory & Pricing Risk

Toll builds some homes before they're sold. If the housing market slows, these homes might not sell. This leads to lower profits.

Rising Costs

Materials, land, and construction labor are expensive. If costs rise faster than home prices, profits shrink.

Land and Development Risk

Toll invests heavily in land. If land values drop or development gets delayed (due to zoning or weather), they can lose money.

Economic or Regional Downturns

If a big market like California or Florida slows, sales fall. Recessions and job losses also reduce demand.

MITIGANTS

Luxury focus – Serves higher-income buyers who are less affected by rising mortgage rates.

Strong balance sheet – Keeps debt low and cash reserves high to handle market slowdowns.

- **Geographic diversification** – Builds in many states to spread risk across different housing markets.

Lot optioning strategy – Uses land options instead of buying all land upfront, reducing financial risk.



TOL 12

FINANCIAL ANALYSIS

INCOME STATEMENT

Income Statement (in thousands)		Historical						Projected				
		2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Revenues												
Home sales		7,080,379	6,937,357	8,431,746	9,711,170	9,866,026	10,563,332	10,840,000	11,270,000	11,720,000	12,190,000	12,670,000
Land sales and other		143,587	140,302	358,615	564,388	128,911	283,408					
Total Revenues		7,223,966	7,077,659	8,790,361	10,275,558	9,994,937	10,846,740	10,840,000	11,270,000	11,720,000	12,190,000	12,670,000
Cost of revenues												
Home sales		5,534,217	5,534,103	6,538,454	7,237,409	7,207,279	7,753,351	7,886,100	8,227,100	8,584,900	8,929,175	9,280,775
Land sales and other		129,704	125,854	309,007	551,770	153,457	70,911					
Total Cost of Revenues		5,663,921	5,659,957	6,847,461	7,789,179	7,360,736	7,824,262	7,886,100	8,227,100	8,584,900	8,929,175	9,280,775
Gross Profit		1,560,045	1,417,702	1,942,900	2,486,379	2,634,201	3,022,478	2,953,900	3,042,900	3,135,100	3,260,825	3,389,225
<i>margin</i>		21.60%	20.03%	22.10%	24.20%	26.36%	27.87%	0.27	0.27	0.27	0.27	0.27
Expenses:												
Selling general and administrative		879,245	867,442	922,023	977,753	909,446	982,291	928988	952315	978620	1005675	1045275
Income from operations (EBIT)		680,800	550,260	1,020,877	1,508,626	1,724,755	2,040,187	2,024,912	2,090,585	2,156,480	2,255,150	2,343,950
<i>margin</i>		9.42%	7.77%	11.61%	14.68%	17.26%	18.81%	0.19	0.19	0.18	0.19	0.19
<i>Other:</i>												
(Loss) income from unconsolidated entities		24,868	948	74,035	23,723	50,098	(23,843)	105148	109319	35160	36570	38010
Other income - net		81,502	35,693	40,614	171,377	67,518	69,296					
Expenses related to early retirement of debt		—	—	(35,211)	—	—	—					
Income before income taxes (EBT)		787,170	586,901	1,100,315	1,703,726	1,842,371	2,085,640	2,130,060	2,199,904	2,191,640	2,291,720	2,381,960
Income tax provision		197,163	140,277	266,688	417,226	470,300	514,445	105011.958	102735.5168	100596.276	105189.948	109331.964
Net income		590,007	446,624	833,627	1,286,500	1,372,071	1,571,195	2,025,048	2,097,168	2,091,044	2,186,530	2,272,628
<i>margin</i>		8.17%	6.31%	9.48%	12.52%	13.73%	14.49%	0.19	0.19	0.18	0.18	0.18
Other comprehensive (loss) income-net of tax		(6,525)	(1,367)	8,307	36,509	3,292	(9,633)	5136.15	7926.46	9994.06	10207.37	4874.77
Total comprehensive income (EBITDA)		583,482	445,257	841,934	1,323,009	1,375,363	1,561,562	2,030,184	2,105,095	2,101,038	2,196,737	2,277,503
<i>margin</i>		8.08%	6.29%	9.58%	12.88%	13.76%	14.40%	0.19	0.19	0.18	0.18	0.18

REVENUE BUILD

	Historical						Projected				
	2019 A	2020 A	2021 A	2022 A	2023 A	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Millions)	\$7.31	\$7.20	\$8.96	\$10.28	\$9.99	\$10,846.70	\$11.79	\$12.81	\$13.92	\$15.13	\$16.45
YoY Growth	7%	-2.03%	24.20%	16.90%	-2.73%	8.52%	9%	9.7%	10.18%	10.68%	11.18%
Home Sales Revenue	\$7.08	\$6.94	\$8.43	\$9.71	\$9.87	\$10.56	11.48	12.47	13.55	14.73	16.01
Land Sales	\$0.14	\$0.14	\$0.36	\$0.56	\$0.03	\$0.19	0.21	0.22	0.24	0.26	0.29
Other Revenue	\$0.08	\$0.12	\$0.16	\$0.01	\$0.09	\$0.10	0.11	0.12	0.13	0.14	0.15
Forecast											
Home Sales Revenue	-	-2%	21.5%	15.2%	2%	7.0%	5%	6%	4%	3%	4%
Land Sales	-	-2.78%	156.4%	57.2%	-95%	505.4%	50%	20%	25%	15%	10%
Other Revenue	-	42.7%	40.2%	-93.9%	800%	8.9%	10%	15%	12%	10%	8%

COMPARABLES

<i>(As of 11/8/25)</i>		Market Cap	EV	LTM			
Company	Ticker	(\$MM)	(\$MM)	EV/EBITDA	EV/Revenue	P/E	
Toll Brothers, Inc.	NYSE: TOL	13,450	15,670	8.45x	1.4x	9.86x	Yahoo Finance
Lennar Corp.	NYSE: LEN	33,070	35,180	10.14x	1.01x	12.02x	Yahoo Finance
D.R. Horton, Inc.	NYSE: DHI	51,120	55,810	11.18x	1.61x	12.51x	Yahoo Finance
PulteGroup, Inc.	NYSE: PHM	26,610	29,920	7.33x	1.52x	9.24x	Yahoo Finance
NVR, Inc.	NYSE: NVR	22,300	21,570	10.73x	2.03x	15.95x	Yahoo Finance
KB Home, Inc.	NYSE: KBH	4,190	5,810	8.81x	0.89x	8.56x	Yahoo Finance
Average				9.64x	1.41x	11.66x	
Median				10.14x	1.52x	12.02x	
High				11.18x	2.03x	15.95x	
Low				7.33x	0.89x	8.56x	

CASHFLOW STATEMENT

Cash Flow Statement (\$ in thousands)							2019A	2020A	2021A	2022A	2023A	2024A
Cash flow provided by operating activities:												
Net Income							\$590,007	\$247,307	\$459,297	\$1,286,500	\$1,372,071	\$1,571,195
Adjustments to reconcile net income to cash provided by operating activities:												
Depreciation and amortization							72,149	46,700	53,938	76,816	76,473	81,201
Stock-based compensation							26,180	20,636	19,942	21,905	24,805	29,558
Loss (income) from unconsolidated entities							(24,868)	(5,304)	(28,313)	(23,723)	(50,098)	23,843
Distributions of earnings from unconsolidated entities							31,799	17,996	30,716	32,316	88,393	39,276
Deferred tax provision							102,764	14,804	6,956	(96,680)	36,239	(80,330)
Impairment charges and write offs							42,360	21,934	15,997	39,541	69,537	72,789
(Gain) loss on sale of assets							(36,277)	(12,970)	(38,706)	576	(416)	(5,042)
Other- net							(1,042)	(558)	1,984	3,781	3,181	(1,544)
Changes in operating assets and liabilities:												
Inventory							(40,236)	(124,235)	(578,461)	(618,829)	(222,212)	(575,734)
Origination of mortgage loans							(1,611,496)	(1,191,066)	(1,452,289)	(2,035,637)	(1,602,700)	(2,137,278)
Sale of mortgage loans							1,565,944	(1,250,109)	1,498,946	2,086,358	1,681,610	2,058,780
Recievables, prepaid expenses, and other assets							(185,261)	(176,293)	97,738	(95,018)	(135,924)	505
Current income taxes- net							(20,791)	209,930	266,640	160,500	(162,570)	31,927
Current deposits- net							14,041	47,222	163,440	(3,279)	(88,285)	(77,189)
Accounts payable and accrued expenses							(64,518)	(29,742)	173,524	152,499	(23,674)	(21,790)
Net cash provided by operating activities							437,661	141,595	448,428	986,816	1,266,430	1,010,167
Cash flow used in investing activities:												
Purchases of property, equipment, construction, and office equipment- net							(86,971)	(75,001)	(45,772)	(71,726)	(72,961)	(73,643)
Investments in unconsolidated entities							(56,560)	(47,310)	(190,027)	(226,724)	(216,438)	(193,235)
Return of investments in unconsolidated entities							147,927	42,639	166,045	116,769	112,749	101,363
Proceeds from the sale of assets, including ownership interests in unconsolidated entities							79,647	15,617	80,418	28,309	26,049	1,139
Other- net							700	885	649	196	-	(3,242)
Net cash used in investing activities							(75,914)	(123,519)	11,313	(153,176)	(150,601)	(167,618)
Cash flow used in financing activities:												
Proceeds from loans payable							2,699,028	3,250,010	2,164,646	4,304,635	3,079,142	3,744,727
Debt issuance costs							(6,180)	-	35,211	-	(5,365)	(202)
Principal payments of loans payable							(2,471,616)	(3,334,431)	(2,381,509)	(4,356,185)	(3,239,418)	(3,844,816)
Redemption of senior notes							(600,000)	-	(294,168)	(409,856)	(400,000)	-
Proceeds (payments) related to stock-based benefit plans- net							17,369	11,252	8,979	-690	48,269	4,131
Purchase of treasury stock and excise tax payment							(233,523)	(633,873)	(275,058)	(542,739)	(561,595)	(627,061)
Dividends paid							(63,641)	(42,650)	(56,103)	(88,901)	(91,082)	(93,401)
Receipts (payments) related to noncontrolling interest- net							49	61	(4,710)	(25,766)	11	167
Net cash used in financing activities							(258,514)	(751,627)	(837,923)	(1,119,502)	(1,170,038)	(816,455)
Net increase (decrease) in cash, cash equivalents, and restricted cash							103,233	(733,551)	(378,182)	(285,862)	(54,209)	26,094
Cash, cash equivalents, and restricted cash, beginning of year							1,216,410	(1,319,643)	1,396,604	1,684,412	1,398,550	1,344,341
Cash, cash equivalents, and restricted cash, end of year							\$1,319,643	\$586,092	\$1,018,422	\$1,398,550	\$1,344,341	\$1,370,435

BALANCE SHEET

Balance Sheet (\$ in millions)	2019 A	2020 A	Historical 2021 A	2022 A	2023 A
Assets:					
Cash and cash equivalents	1,286	1,370,944	1,638,494	1,346,754	1,300,068
Inventory	7,873,048	7,658,906	7,915,884	8,733,326	9,057,578
Property, construction, and office equipment, net	273,412	316,125	310,455	287,827	323,990
Receivables, prepaid expenses and other assets	715,441	956,294	738,078	747,228	691,256
Mortgage loans held for sale	218,777	231,797	247,211	185,150	110,555
Customer deposits held in escrow	74,403	77,291	88,627	136,115	84,530
Investments in unconsolidated entities	366,252	430,701	599,101	852,314	959,041
Income taxes receivable	20,791	23,675	NA	NA	NA
Total Assets:	10,828,138	11,065,733	11,537,850	12,288,714	12,527,018
Liabilities and Equity:					
Liabilities:					
Loans Payable	1,111,449	1,147,955	1,011,534	1,185,275	1,164,224
Senior notes	2,659,898	2,661,718	2,403,989	1,995,271	1,596,185
Mortgage company loan facility	150,000	148,611	147,512	148,863	100,058
Customer deposits	385,596	459,406	636,379	680,588	540,718
Accounts payable	348,599	411,397	562,466	619,411	597,582
Accrued expenses	950,932	1,110,196	1,220,235	1,345,987	1,548,781
Income taxes payable	102,971	198,974	215,280	291,479	166,268
Total liabilities:	5,709,445	6,138,257	6,197,395	6,266,874	5,713,816
Equity:					
Stockholders Equity					
Preferred stock, none issued					
Common stock	1,529	1,529	1,279	1,279	1,129
Additional paid-in capital	726,879	717,272	714,453	716,786	698,548
Retained earnings	4,774,422	5,164,086	4,969,839	6,166,732	6,675,719
Treasury stock, at cost	-425,183	-1,000,454	-391,656	-916,327	-619,150
Accumulated other comprehensive income (loss)	-5,831	-7,198	1,109	37,618	40,910
Total stockholders equity	5,071,816	4,875,235	5,295,024	6,006,088	6,797,156
Noncontrolling interest	46,877	52,241	45,431	15,752	16,046
Total Equity	5,118,693	4,929,476	5,340,455	6,021,840	6,813,202
Total liabilities and stockholders equity	10,828,138	11,065,733	11,537,850	12,289	12,527,018

VALUATION

EV / EBITDA Valuation Summary	
EBITDA (\$MM)	1,930.00
Multiple	10.14×
Total Enterprise Value (\$MM)	19,570.20
(–) Debt	2,200.00
(+) Cash	400
Total Equity Value (\$MM)	17,770.20
Shares Outstanding (MM)	118
Implied Share Price (\$)	\$150.60
Current Price (As of 11/8/25)	\$130.00
Upside (Downside)	15.90%

EV / Revenue Valuation Summary	
Revenue (\$MM)	10,876.80
Multiple	1.52×
Total Enterprise Value (\$MM)	16,534.70
(–) Debt	2,200.00
(+) Cash	400.00
Total Equity Value (\$MM)	14,734.70
Shares Outstanding (MM)	\$118.00
Implied Share Price (\$)	\$124.86
Current Price (As of 11/8/25)	\$130.00
Upside (Downside)	–3.9 %

P/E Valuation Summary	
EPS (FY2025E)	13.56
Multiple (Peer Median P/E)	12.02×
Total Enterprise Value (\$MM)	163,231.00
(–) Debt	2,200.00
(+) Cash	400.00
Total Equity Value (\$MM)	\$163,431.00
Shares Outstanding (MM)	\$118.00
Implied Share Price (\$)	\$164.15
Current Price (As of 11/8/25)	\$130.00
Upside (Downside)	26.30%

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QUESTIONS?